

ter, and warehousing and fulfilment area was up 95 per cent YoY to 33.6 million sq. ft (see 'Growing Up').

While RRL is already a leading player in modern retail and digital platforms, the company has set a target of increasing its reach in areas that remain under-served. "In this endeavour, our strategy is to integrate with millions of small merchants... the aim is to bring them to become an integral part of the widest distribution portfolio across the country so that they can provide the same choices to their customer that are available in big cities," said RIL Chairman Mukesh Ambani at the same AGM.

Additionally, RRL is working to strengthen its supply chain so that it can service the vast Indian geography in the "most efficient manner". That will allow the company to pass on the benefits of reduced costs to its customers. Given the nature and spread of the local market, last-mile connectivity is the greatest challenge any major player faces. However, by setting up a distribution network—by tying up with existing small to medium outlets that number over 10 million—RRL has come up with a unique proposition for them.

While consumer goods leaders—from Hindustan Unilever (HUL) and Nestlé to Dabur and Britannia—are dependent on the traditional distribution channels to get their products to consumers, Reliance aims to hit multiple targets with one shot. In India, the traditional network of distributors, wholesalers and local grocery retailers, clubbed as the general trade segment, accounts for roughly 85 per cent of FMCG sales in India, while modern retail and e-commerce account for the rest. In the general trade model, most



PHOTO BY BANDEEP SINGH

"The aim is to provide the same choices to the customers that are available in big cities"

Mukesh Ambani
CHAIRMAN, RIL

producers of daily essentials sell their products to distributors and wholesalers, who in turn sell them to local *kirana* stores, from where households buy them.

However, Reliance's distribution model has disrupted this paradigm, as it supplies products directly to the retailers and cuts out the layers of distributors and wholesalers. This translates into greater margins for itself and a more efficient supply chain for the retailers. And for the manufacturer, bypassing the intermediaries saves 2.5-8 per cent in margins that earlier used to end up with the



PHOTO BY ROHIT CHAWLA

"We add about 150,000 partners a month and are on course to [reach] one crore [10 million] merchants"

Isha Ambani
EXECUTIVE DIRECTOR, RRL

distributors and wholesalers, say traders. "There is an extraordinary amount of planning and thinking that has gone into it. The last-mile connectivity is so crucial that most big companies fail without an institutional setup," says Choksey.

At the same time, the idea of directly reaching the consumer is not exclusive to Reliance. HUL, India's largest FMCG player, had also tried its hand at the game two decades ago. Conceptualised in 2001 as an experimental direct-to-consumer (D2C) channel, HUL (then Hindustan Lever Ltd) had launched Sangam Direct—a non-store, home